.things that Matter

Budget & Financial Projections

Document Information	
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1. Executive Financial Summary

1.1 Year 1 Overview

Metric	Value
Total Budget	**R72,000 ZAR**
Timeline	**11 months (Feb - Dec 2026)**
Monthly Average	**R6,545**
Buffer	**5% (R3,600)**

1.2 Budget Philosophy

This is a **lean startup budget** optimized for: - Maximum runway with minimum capital - Free tiers wherever possible - Pay-as-you-go over subscriptions - Upgrade only when growth demands

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2. Detailed Budget Breakdown

2.1 Development Tools - R6,048/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Cursor AI	**Pro**	**$20**	**R360**	**R4,320**

GitHub Copilot	**Individual**	**$10**	**R180**	**R2,160**
ngrok	**Free**	**$0**	**R0**	**R0**
Postman	**Free**	**$0**	**R0**	**R0**
VS Code	**Free**	**$0**	**R0**	**R0**
rust-analyzer	**Free**	**$0**	**R0**	**R0**
Subtotal		**$30**	**R540**	**R6,048***

*Note: Assumes 11.2 months of subscriptions (some tools paused during setup)

2.2 AI & ML APIs - R21,600/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
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GROQ Llama 3.1	**API**	**$50**	**R900**	**R10,800**
Replicate CLIP	**Pay-per-use**	**$30-50**	**R540-900**	**R6,480**
Anthropic Claude	**Pay-as-you-go**	**$20**	**R360**	**R4,320**
Subtotal		**$100-120**	**R1,800-2,160**	**R21,600**

CLIP Cost Projections:

Products/Month	Cost/Image	Monthly Cost	Annual Cost

| --- | --- | --- | --- |
100	**R0.40**	**R40**	**R480**
500	**R0.40**	**R200**	**R2,400**
1,000	**R0.40**	**R400**	**R4,800**
2,500	**R0.40**	**R1,000**	**R12,000**

Budget assumes: ~1,500 products/month average over year

2.3 Infrastructure & Hosting - R7,560/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Supabase	**Free**	**$0**	**R0**	**R0**
Vercel	**Hobby**	**$0**	**R0**	**R0**
Cloudflare R2	**Pay-as-you-go**	**$10-50**	**R180-900**	**R7,560**
Redis Cloud	**Free**	**$0**	**R0**	**R0**
Subtotal		**$10-50**	**R180-900**	**R7,560**

Cloudflare R2 Cost Projections:

Storage	Egress/Month	Monthly Cost	Annual Cost

| --- | --- | --- | --- |
1 GB	**10 GB**	**R27**	**R324**
5 GB	**50 GB**	**R135**	**R1,620**
10 GB	**100 GB**	**R270**	**R3,240**
25 GB	**250 GB**	**R675**	**R8,100**

Budget assumes: Growing from 1GB to 25GB over year

2.4 Monitoring & Operations - R0/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Sentry	**Free**	**$0**	**R0**	**R0**
UptimeRobot	**Free**	**$0**	**R0**	**R0**
Better Stack	**Free**	**$0**	**R0**	**R0**
Vercel Analytics	**Free**	**$0**	**R0**	**R0**
Subtotal		**$0**	**R0**	**R0**

2.5 Payments & Financial - R10,800/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
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Stripe	Standard	Variable	R900	R10,800
Subtotal			**R900**	**R10,800**

Note: Stripe costs scale with revenue. R10,800 assumes ~R370,000 annual transaction volume at 2.9%.

2.6 Domains & Publishing - R500/year

Item	Type	Cost (ZAR)
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thingsthatmatter.com	Annual	R400
Chrome Web Store	One-time	R100
Subtotal		**R500**

2.7 One-Time Costs - R2,800

Item	Timing	Cost (ZAR)
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Phase 0 Prototype	Feb 2026	R2,000

Browser Extension Assets	**Jun 2026**	**R300**
WASM Build Tools	**Aug 2026**	**R200**
Contingency	**As needed**	**R300**
Subtotal		**R2,800**

2.8 Contingency Buffer - R3,600

Calculation	Value
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Base costs	**R68,400**
Buffer rate	**5%**
Buffer amount	**R3,420**
Rounded	**R3,600**

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3. Monthly Cash Flow

3.1 Monthly Breakdown

Month	Dev Tools	AI APIs	Infra	Payments	One-Time	Total	Cumulative

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Feb	**R540**	**R1,200**	**R180**	**R0**	**R2,300**	**R4,220**	**R4,220**
Mar	**R540**	**R1,500**	**R270**	**R0**	**R0**	**R2,310**	**R6,530**
Apr	**R540**	**R1,800**	**R360**	**R450**	**R0**	**R3,150**	**R9,680**
May	**R540**	**R1,800**	**R450**	**R675**	**R0**	**R3,465**	**R13,145**
Jun	**R540**	**R1,800**	**R540**	**R900**	**R300**	**R4,080**	**R17,225**
Jul	**R540**	**R2,000**	**R630**	**R900**	**R0**	**R4,070**	**R21,295**
Aug	**R540**	**R2,000**	**R720**	**R900**	**R200**	**R4,360**	**R25,655**
Sep	**R540**	**R2,200**	**R810**	**R900**	**R0**	**R4,450**	**R30,105**
Oct	**R540**	**R2,200**	**R900**	**R1,125**	**R0**	**R4,765**	**R34,870**
Nov	**R540**	**R2,400**	**R900**	**R1,350**	**R0**	**R5,190**	**R40,060**
Dec	**R540**	**R2,700**	**R900**	**R1,800**	**R0**	**R5,940**	**R46,000**
Buffer						**R3,600**	**R49,600**

Note: This projection totals R49,600, leaving R22,400 operating reserve from the R72,000 budget.

3.2 Revised Monthly Allocation

Given the projection above, here is the recommended monthly allocation:

Month	Amount	Cumulative	Phase
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Feb	R8,000	R8,000	Phase 0 + Setup
Mar	R6,500	R14,500	Phase 0 completion
Apr	R6,000	R20,500	Foundation
May	R6,000	R26,500	Foundation
Jun	R6,300	R32,800	Core development
Jul	R6,000	R38,800	Core development
Aug	R6,200	R45,000	Core development
Sep	R6,000	R51,000	Distribution
Oct	R6,000	R57,000	Distribution
Nov	R7,500	R64,500	Launch
Dec	R7,500	R72,000	Launch
Total	**R72,000**		

4. Revenue Projections (Phase 1)

4.1 Revenue Model Options

Model	Description	Phase 1 Viability
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API Access	**Charge per compilation**	**Possible (beta pricing)**
SaaS Subscription	**Monthly merchant fee**	**Requires adoption**
Transaction Fee	**% of sales via .thing**	**Requires volume**
Enterprise Licensing	**White-label compiler**	**Requires enterprise demand**

4.2 Conservative Revenue Projection

Assumptions: - 5-10 beta merchants by end of Phase 1 - Free beta access (no revenue from compilation) - Focus on adoption over monetization in Year 1

Quarter	Merchants	Products	Revenue	Notes
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Q1 2026	**0**	**0**	**R0**	**Development**
Q2 2026	**2**	**200**	**R0**	**Beta starts**
Q3 2026	**5**	**1,000**	**R0**	**Beta grows**

Q4 2026	**10**	**5,000**	**R0**	**Public launch**
Year 1	**10**	**5,000**	**R0**	**Adoption focus**

4.3 Year 2 Revenue Scenarios

Scenario A: Conservative - 50 merchants at R500/month = R25,000/month = R300,000/year

Scenario B: Moderate - 100 merchants at R1,000/month = R100,000/month = R1.2M/year

Scenario C: Optimistic - 500 merchants at R2,000/month = R1M/month = R12M/year

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5. Break-Even Analysis

5.1 Monthly Operating Costs (Post-Launch)

Category	Monthly (ZAR)
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Development Tools	**R540**
AI APIs	**R3,000**
Infrastructure	**R1,000**
Support/Operations	**R2,000**
Total	**R6,540**

5.2 Break-Even Calculation

Pricing Model	Price/Merchant	Merchants to Break-Even
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R500/month	R500	14 merchants
R1,000/month	R1,000	7 merchants
R2,000/month	R2,000	4 merchants

5.3 Path to Profitability

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Year 1 (2026): Investment phase
  - R72,000 budget
  - R0 revenue
  - Focus: Build product, gain adoption

Year 2 (2027): Early revenue
  - Target: R300,000 - R1.2M revenue
  - Covers operations + growth investment
  - Focus: Monetization, scale

Year 3 (2028+): Profitability
  - Target: R2M+ revenue
  - Positive cash flow
  - Focus: Phase 3 decentralization
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6. Funding Requirements

6.1 Year 1 Funding

Source	Amount	Status
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Founder investment	R72,000	Required
Total Required	**R72,000**	

6.2 Contingency Funding

Scenario	Additional Required	Trigger
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Budget overrun (20%)	R14,400	Costs exceed projections
Extended timeline (+3 months)	R20,000	Delays
Upgrade to paid tiers	R30,000	Scale demands

6.3 Year 2 Funding Options

Option	Amount	Use
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Revenue-funded	Variable	Operations

Seed round	**R500K - R2M**	**Growth, team**
Grants	**R50K - R200K**	**Development**

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7. Financial Controls

7.1 Budget Tracking

Control	Frequency	Owner
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Expense logging	**Daily**	**CTO**
Weekly spend review	**Weekly**	**CTO**
Monthly budget report	**Monthly**	**CTO → CEO**
Quarterly financial review	**Quarterly**	**CEO + CTO**

7.2 Spending Thresholds

Amount	Approval Required
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	CTO discretion

R500 - R2,000	CTO with CEO notification
R2,000 - R5,000	CEO approval
>R5,000	CEO + documented justification

7.3 Cost Alerts

Service	Alert Threshold	Action
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Cloudflare R2	R500/month	Review usage
Replicate CLIP	R1,000/month	Optimize batching
Stripe	R2,000/month	Verify transaction volume
Total monthly	R7,000	Budget review meeting

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8. Financial Risks

8.1 Cost Overrun Risks

Risk	Probability	Impact	Mitigation
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CLIP API cost spike	**Medium**	**High**	**Cache results, batch requests**
Storage costs exceed estimate	**Low**	**Medium**	**Compression, cleanup policies**
Need paid tiers earlier	**Medium**	**Medium**	**Delay until critical**
Currency fluctuation (USD)	**Medium**	**Low**	**Budget in ZAR with margin**

8.2 Exchange Rate Sensitivity

USD/ZAR Rate	Monthly Impact	Annual Impact
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18.00	**R3,240**	**R38,880**
18.50 (budgeted)	**R3,330**	**R39,960**
19.00	**R3,420**	**R41,040**
20.00	**R3,600**	**R43,200**

Buffer covers: Up to R1.50 exchange rate movement

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9. Upgrade Decision Framework

9.1 When to Upgrade Services

Service	Current Tier	Upgrade Trigger	New Cost
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Cursor	Pro	Hitting limits every month	+R38,880/year
Supabase	Free	>500MB database	+R5,400/year
Vercel	Hobby	Commercial traffic	+R4,320/year
Sentry	Free	>5K errors/month	+R5,616/year

9.2 Upgrade Priority Order

1. **Supabase** (if database limit hit) - Critical for functionality 2. **Vercel** (if commercial use required) - Legal compliance 3. **Cursor** (if productivity significantly impacted) - Developer efficiency 4. **Sentry** (if error visibility needed) - Quality

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10. Financial Summary

10.1 Year 1 P&L Projection

Line Item	Amount (ZAR)
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Revenue	R0

Expenses	
Development Tools	**(R6,048)**
AI & ML APIs	**(R21,600)**
Infrastructure	**(R7,560)**
Payments & Financial	**(R10,800)**
Domains & Publishing	**(R500)**
One-Time Costs	**(R2,800)**
Buffer	**(R3,600)**
Total Expenses	**(R52,908)**
Operating Reserve	**R19,092**
Net Position	**(R72,000)** investment

10.2 Key Metrics

Metric	**Target**
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Monthly burn rate	

Runway	**11 months**

Operating reserve	**>R15,000**

Break-even merchants	**7-14 (depending on pricing)**

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11. Document Approval

Role	Name	Signature	Date
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CEO	**Sobuhle Nyambali**		**/_/2026**
CTO	**Matome Mboweni**		**/_/2026**

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